

POL-014

SFDR Product Disclosure & Taxonomy Alignment Policy

Asset Management (KBC Asset Management NV)

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About this policy: This policy explains how KBC Asset Management describes its sustainable investment funds honestly — what the fund categories mean, what we disclose about our environmental footprint, and why accuracy in sustainability disclosure matters.

How to use this policy

This policy is written for all KBC employees. It explains what we stand for, what is expected of you, and how to handle situations you may encounter in your day-to-day work. You do not need to be a legal or compliance expert to read it. If you are ever uncertain, the right thing is always to ask. Contact details for your Compliance team are at the end of this document.

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1. Introduction

KBC Asset Management manages EUR 300 billion in assets on behalf of retail, private banking, and institutional clients. EUR 51 billion of those assets are in responsible investment funds. This policy governs how we describe those funds to investors and how we ensure those descriptions are accurate.

2. Who This Applies To

This policy applies to all KBC Asset Management employees involved in fund management, product development, investor communications, and compliance. It also applies to private banking employees who distribute sustainable investment products to clients.

3. What Sustainable Investment Categories Mean

Investment funds that promote sustainability are classified under EU law into categories based on their ambition. Article 9 funds have sustainable investment as their core objective — everything in the portfolio is there because it contributes to an environmental or social goal. Article 8 funds promote environmental or social characteristics but may hold some investments that do not meet that standard. These are not just labels — they carry specific obligations about what we must disclose.

What greenwashing looks like

Greenwashing occurs when a fund's sustainability claims do not match its actual investment approach. Examples include calling a fund 'sustainable' while holding significant fossil fuel investments, or claiming Article 9 status for a fund that does not have sustainable investment as its primary objective. Any of these would be a serious breach of this policy.

4. What We Tell Investors and Why It Matters

For every Article 8 and Article 9 fund, we produce pre-contractual disclosure documents and periodic reports setting out: the environmental or social characteristics the fund promotes; how those are measured; what proportion of the fund meets those criteria; and the principal adverse impacts of the fund's investments. These documents must be accurate, complete, and updated when the fund's approach changes. They are legal disclosures, not marketing documents.

KBC Asset Management is required to update its disclosure templates following a revision to EU-level rules. All 47 funds that currently have Article 8 or Article 9 status require updated disclosures. This work is underway and must be completed before the deadline.

5. Principal Adverse Impacts — Our Footprint as Investors

As investors of EUR 300 billion, KBC Asset Management has a significant real-world footprint. We are required to identify and disclose the principal adverse impacts of our investments across 18 mandatory indicators, including greenhouse gas emissions, biodiversity impact, water intensity, and social and labour standards in investee companies. These disclosures are published annually. Where data is unavailable, we use reasonable estimates and disclose the gap — we do not exclude companies because getting the data is inconvenient.

6. How We Calculate Taxonomy Alignment

The EU Taxonomy is a classification system identifying which economic activities are genuinely environmentally sustainable. For Article 8 and Article 9 funds, we calculate and disclose the percentage of the portfolio aligned with the Taxonomy. This calculation is complex and data-intensive. Our methodology is reviewed regularly and updated when the rules change.

7. Updating Our Disclosures

The rules governing sustainable investment disclosures have been updated. KBC Asset Management's disclosure documents need to be updated accordingly — a significant piece of work affecting all 47 in-scope funds with a defined deadline. All employees involved in this work should treat it as a priority. If you encounter any obstacle to completing the work on time, escalate immediately.

8. Your Responsibilities

- Ensure fund descriptions and sustainability claims are accurate and reflect the actual investment approach.
- Flag any material changes in a fund's composition or approach that might require re-classification.
- Complete the disclosure template update work on time.
- Never overstate a fund's sustainability credentials in marketing or client communications.

9. Getting Help

- **Head of Sustainable Investing** — for fund classification and disclosure questions.
- **KBC Compliance Advisory** — for policy guidance.
- **KBC Ethics & Compliance Helpline** — for confidential concerns.

10. Policy Review

This policy is reviewed annually and whenever EU sustainable finance rules are materially updated.